RACE TO THE BOTTOM

The ABG Shipyard scam is the latest addition to alleged cases of swindling and money laundering that have hit Indian banks over the past few years



Vijay Mallya

Liquor and airline baron (United Breweries and Kingfisher Airlines)

The case: Owes **Rs 9,000 crore** to 17 Indian banks. Accused of fraud and money laundering.

Banks: SBI, Punjab National Bank, IDBI, Bank of India and Bank of Baroda, among others



Nirav Modi; Mehul Choksi

Founder, Nirav Modi chain of diamond jewellery retail stores; Promoter, Gitanjali Gems

The case: In the **Rs 14,000 crore** scam, Modi and Choksi allegedly availed credit from overseas branches of Indian banks through fraudulent guarantees

Bank: PNB



Chanda Kochhar; Deepak Kochhar

Former MD & CEO of ICICI Bank; Founder, NuPower Renewables

The case: Chanda Kocchar is accused of receiving a kickback through her husband from Videocon for sanctioning loans. She allegedly approved a loan worth **Rs 3,250 crore** for Videocon in 2012 for a deal that concerned NuPower Renewables.

Bank: ICICI Bank



Rana Kapoor

Co-founder, Yes Bank

The case: Kapoor was arrested by the Enforcement Directorate in March 2020 in an alleged money laundering and banking fraud involving **Rs 4,300 crore**

Bank: Yes Bank



Rakesh and Sarang Wadhawan

Promoters, HDIL

The case: They were arrested in October 2019 by the Economic Offences Wing of Mumbai Police for alleged involvement in the **Rs 6,000 crore** Punjab and Maharashtra Coop Bank fraud.

Bank: PMC Bank



Vikram Kothari

Promoter, Rotomac

The case: Kothari was arrested in February 2018 by the CBI for allegedly cheating a consortium of seven banks of **Rs 3,695 crore**. Released on bail.

Banks: A consortium of seven banks led by Bank of India

registered a case against ABG Shipyard executives, suspecting use of shell companies to divert public money.

According to the SBI, which has been handling ABG Shipyard's account since 2001, the company diverted the loan money to its related parties and made huge investments in its overseas subsidiary between 2005 and 2012. 'The loan amount was restructured under the Corporate Debt Restructuring (CDR) mechanism on March 27, 2014. However, the operations of the company could not be revived,' reads the SBI's February 14 statement.

Too many fault lines

ABG Shipyard has been on the radar of lenders ever since its financial troubles began. The SBI appointed an auditor, N.V. Dand and Associates, on September 10, 2014, to conduct a stock audit of ABG Shipyard. In its report submitted in April 2016, the auditor found various faults on the part of ABG Shipyard. On July 20, 2016, the company's account was declared an NPA with effect from November 30, 2013. The lenders appointed EY in April 2018 to conduct a forensic audit, covering the period between April 2012 and July 2017.

THE OFFENCE IN THE ABG SHIPYARD CASE HAS BEEN REGISTERED ALMOST A DECADE AFTER THE ALLEGED FRAUD BEGAN AND THREE YEARS AFTER 'CRIMINAL BREACH OF TRUST' WAS HIGHLIGHTED BY AUDITING FIRM EY

EY's forensic audit report, submitted on January 18, 2019, elaborated on how ABG Shipyard routed the loan money by paying it to related parties. The money borrowed from banks was also used to repay loans and foot expenses of group companies and for letters of credit. Broadly, there were four instances of misappropriation or diversion of funds. The first was when Rs 1,415 crore was transferred through vendors and group companies and "round-tripped" back to the company. Round-tripping refers to a series of transactions that involve circulation of money across jurisdictions, culminating in its return to the jurisdiction of origin, usually as foreign investment. ABG Shipyard transferred Rs 603 crore to One Ocean Shipping Pvt Ltd and another Rs 812 crore to ABG Engineering & Construction, both part-